

Equities

This is the largest futures sector in terms of amount of available instruments and the easiest for most people to relate to. Buying a basket of stocks in a well-defined market is a very straightforward concept and understanding the potential risk and reward of such a trade is fairly intuitive. The percentage moves of the underlying indices are published daily on news websites, TV screens, and in newspapers. We are only dealing in equity index futures in this book and not with single stock futures and the reason for this is not just simplification, as one might think, but rather that I find single stock futures of much less interest and they are just not terribly helpful in diversified futures strategies.

Just as single cash equities have high internal correlation, so of course do equity futures. It can be very tempting to include a large number of equity futures in your strategy because there are so many to pick from, but I would advise against allocating too high a risk to this sector, as it can easily put you in a corner portfolio with the illusion of diversification when you are in fact just putting on massive bets on equity beta. Nevertheless, equity futures do have a place in a diversified futures strategy and representative contracts from several different geographical markets should be included. As Table 2.5 shows, I include the large US futures such as the S&P 500 and the Nasdaq 100 as well as European representatives such as the Euro Stoxx 50, the FTSE 100, the GDAX and CAC40, and a few Asians such as Hang Seng and Nikkei 225.

TABLE 2.5 Equity futures

Name	Point value	Unit	Currency	Exchange
CAC 40	10	Index points	EUR	Euronext
DAX	25	Index points	EUR	EUREX
Euro Stoxx	10	Index points	EUR	Euronext
FTSE 100	10	Index points	GBP	Euronext
Hang Seng	50	Index points	HKD	HKEX
Hang Seng China Enterprises	50	Index points	HKD	HKEX
IBEX 35	10	Index points	EUR	MEFF
MSCI Taiwan	100	Index points	USD	SGX
Nasdaq 100	100	Index points	USD	CME
Nikkei 225	5	Index points	USD	CME
S&P 500	250	Index points	USD	CME
S&P 60	200	Index points	CAD	ME
SPI 200	25	Index points	USD	ASX